

UNIT THREE-OWNERSHIP

DEFINITION AND ELEMENTS OF OWNERSHIP

Right of ownership is the widest and the ultimate property right that may be had in relation to things or objects. Ownership is said to be absolute in the sense that the owner may do as he likes with the thing that is his own.

The rights of an owner include;

1. The right of use and enjoyment, **Arts 1205/1/ and 1270-1271**

- the right to determine to what type of use the object may be put
- to deal with the fruits of the thing as he likes
- The right to destroy the thing or its fruits.

2. The right of possession that includes the right to exclude others Arts 1204, 1148 and 1149

3. The right to transfer the thing and its fruits for consideration or gratuitously Arts 1205/2/

4. The right to leave or abandon the thing or its fruits at will.

However, an owner may not possess or exercise all the rights set out above and his rights may be restricted by law or by an agreement he has made with another person. For instance, the law of nuisance limits, in the interest of his neighbors, the owner's right to use his property as he wishes or he may transfer some of his rights to another through a contract of usufruct or hire or lease. **Arts 1215-1227 and 1309-1352**

Two types of ownership

Ultimate Ownership- in which other persons hold the rights of present enjoyment temporarily through contracts such as usufruct or lease and the residual magnetic core is left to the owner.

Complete or Beneficial Ownership- in which the owner enjoys all the rights and privileges emanating from it.

RESTRICTIONS ON THE OWNERSHIP

These restrictions may be **based on public interest**, for instance the law orders that ***animals affected by or suspected of having contagious diseases*** be reported and isolated, that they not be sold or offered for sale. Compare Arts 2369 and 2373 of the Civil Code. Sale of medicines is reserved for pharmacists, and the sale of alcohol, narcotics, guns, tobacco is restricted by laws.

Some properties belong to **public domain** and exclusively owned by the government. For instance, land, natural resources, historical cultural heritages, treasures buried under ground for longer period of time.

Immovable things may be expropriated, against payment of compensation, where they are needed for public purposes. See FDRE constitution art 40/8, Arts 1319/2/ 1460 and 1464 of the Civil Code

Servitudes are considered as limitations on the exercise right of ownership.

The restriction on the right of ownership may also be based on considerations of mutual interest of neighboring estates.

Land belonging to different persons creates conflicts if, either or both of them, wish to enjoy their holdings without any consideration of possible damages or annoyances caused to the other. Arts 1210 and 1225

The law prohibits owners from causing nuisances to a neighbor by noise, smoke, gases odor if it exceeds limits considered tolerable. See Art 1225 and Art 1226.

The law prohibits an from directing water to another's holding waters other than proceeding from rain or a spring and flowing naturally from higher to lower grounds. Art 1246 (1)

The owner of a building must construct the roof so that rainwater falls in to the public road or on his own land. See Art 1245.

The owner/holder of land is required by law to allow access to his land/ holding in some circumstances. Hence, he may not resist access to his land where it is necessary: -

- To prevent or avoid eminent damage or danger to life or property (Art. 1217)
- To repair of walls or buildings (Art 1218)
- -To recover lost things or animals (Art 1219)
- To install of pipes (Arts 1220, 1252, 1253)
- To allow right of way to a neighbor (Arts 1221-1224, 1249(2))

PROPERTY RIGHTS WITH REGARD TO LAND AND WATER

Land was subject to private ownership and had been governed under the Civil Code prior to 1975 when the Derg, the military and communist regime, enacted laws nationalizing rural and urban land and abolished private ownership of land. However, individuals were given a right to use land for farming and construction of residential or business buildings against payment of taxes on income from agricultural activities or land tax.

After the fall of the Derg in 1991 and the ratification of the FDRE Constitution in 1994, land remained public property. FDRE constitution art **40/3** The FDRE constitution entitles Ethiopian **farmers, pastoralists and semi-pastoralists** to obtain farmland/ pastureland free of charge and a right of use of such land. FDRE constitution art **40/4&5** and it also provides that **investors** in the agriculture sector may also obtain land on the basis of advance payment in accordance with land use laws of the regions. **FDRE art 40/6**

In order to realize constitutionally granted rights of the farmers, pastoralist, semi-pastoralist and investors land holding and use rights both federal and regional states promulgate land use and administration proclamations to regulate their respective land and natural resources.

In urban areas, individuals and investors have the right to obtain land necessary for construction of buildings for residential or commercial purposes in accordance with the land lease law issued by the House of Peoples Representatives.

Regarding water resources, Arts 1255 and 1447 of the Civil Code provide that waterways (rivers), lakes and underground accumulation of water shall be deemed to form part of a public domain, i.e., they cannot be privately owned, alienated, or acquired through possession in good faith, occupation. See also Art 1454 and 1455. Furthermore, according to **Art 40(3)** of FDRE Constitution water resources, which include both surface and underground water, are common property of the peoples and state of Ethiopia. Hence, the type of property right in relation to water resources is a use right. However, water shall be private property where it is collected in a man-made reservoir, basin or cistern from which it does not flow naturally. See **Art 1229** of the Civil Code.

SCOPE OF RIGHT TO USE LAND

Holding and use right of land includes what is above it. In other words, the air space is exclusively the holder's and he can erect in it structures, he may demand the destruction of works which, in any way infringes his air space, or the cutting of branches which grow in to it. See Art 1211 and 1212 of the Civil Code.

There is a presumption that the holder of the land owns what is constructed on it. However, this presumption is refutable if the holder of a building is different from the holder of the land on which it stands. See **Art 1214 and 1200** of the Civil Code.

The holding of the land extends to a depth below, including all the objects located there. **Art 1255(2)** limits this right to a depth of 100 meters. Thus, the holder has the right to cut the roots of trees of a neighbor that grow into his holding.

ACQUISITION OF OWNERSHIP

By the way of occupancy of things that do not have an owner/ res nullius/ or

By transfer from an owner or even a non-owner by operation of the law

Acquisition of ownership through possession in good faith under Arts 1161-1169

Original and derivative acquisition of ownership

In cases of original acquisition it is possible for a non-owner to transfer a perfect right of ownership.

Whereas derivative acquisition refers to the situation in which the transferor, in order to transfer a perfect right of ownership to the transferee, he must have a perfect right of ownership himself.

Derivative Acquisition; refers to the mode of acquisition right of ownership through transfer from one person to another. It is a mode of acquisition in which the right of the transferee is dependent on the right of the transferor. Hence, the governing principle here is that no one can transfer a better title or right than he has, and where the transferor is not an owner or if his right is defective, the transferee will not acquire right of ownership or will acquire a defective right.

Derivative acquisition may result from contracts such as **sale and donation/ Arts 2266-2426** and **2427-2470** of the Civil Code respectively or from the **will of a deceased person/** testate succession/ or the **operation of the law**, in cases of **in testate succession/ Arts 826-1125** of the Civil Code.

Original Acquisition; is the mode of acquisition involves the creation of new property a right, which is independent of any preexisting rights over the same thing. This mode acquisition differs from derivative acquisition of property rights in which an existing property right is transferred from the transferor to the transferee, and the latter's right depends on the right of the former. This mode of acquisition of ownership includes occupation, possession in good faith, accession and usucaption/ acquisitive prescription.

OCCUPATION

Occupation is a mode of acquiring ownership by the sole fact of taking possession of a thing that does not have an owner with the intention of becoming an owner. This mode of acquisition is largely limited to chattels such as wild animals, birds, fish /res nullius/ and abandoned chattels /res derelictae/ and treasures.

In the past, an **open land** could also be acquired by occupation or cultivation. Now a days, however, land is subject to **license or grant by the state**, which is supposed to hold title to all unclaimed land. **Art 1194** of the Civil Code also makes **immovable things without an owner** the property of the state and hence renders this mode of acquisition inapplicable to immovable things in Ethiopia even before the nationalization of all land in 1975 and the coming in to force of the FDRE Constitution which, under Art 40/3/, makes land and all natural resources the property of the state and the peoples of Ethiopia.

Hence, **occupation or first possession** as a mode of acquisition of ownership right is limited to the following cases:

1. **Wild Animals**; a person may acquire ownership right of wild animals living in natural freedom through the act of hunting and fishing in accordance with the relevant provisions of Wild Life Development and Conservation Proclamation. However, this cannot apply to **semi-domesticated animals** that customarily return to the same habitat, for example, pigeons, bee swarms. See **Art 1152 and 1153** of the Civil Code.

Under Ethiopian law, no person may hunt wild animals or use products thereof unless he is granted a written permission by the respective Authority. Art 850 of the FDRE Criminal Code also supports this concept by penalizes a person who violates laws, regulations or directives for the protection of the national arboreal species, flora and fauna with fine or arrest. See also Art 681 of the criminal code.

2. **Treasures**; A treasure is anything hidden or buried to which nobody can show an ownership title and which is discovered by chance. According to **Art 1159/3/** of the Civil Code, for a thing to be considered as a treasure it must be found **buried or hidden, in an immovable or movable thing, for a period of at least 50 years on the date it is discovered and nobody can prove it belongs to him/her**. The rule is that the owner of the immovable or movable thing in which a treasure is discovered shall acquire ownership to it by occupation or his discovery. However, where the treasure is discovered by a person who is not the owner of the thing in which it is found, **the finder shall be entitled to half of the value of the treasure he discovered**.

However, **a person shall not acquire ownership of archeological discoveries and antiques** because of the historical importance attached to these categories of treasures. Furthermore, the thing must have been owned originally, and precious stones or gold grains found in their natural mining place are not considered as treasures. Ownership of natural resources belongs to state and a person must acquire a license to mine natural resources.

Cultural heritages, which include treasures that are found or discovered in land through purposeful exploration or accidental or fortuitous discovery, shall be owned by the state, and the discoverer shall have **no right in relation to such treasure or cultural heritage**. A person who accidentally discovers a cultural heritage is required to report his finding and surrender the same to the appropriate Authority. Failure to comply with this punishable up on complaint, under **Art 680/2/ of the FDRE Criminal Code**, with fine not exceeding **5,000.00** Birr or according to the gravity of the case with simple imprisonment not exceeding one year.

3. **Lost things**; lost things and misplaced things have an owner but the owner does not know where to find them. However, the law attributes ownership to the finder after a lapse of certain period of time, or completion of certain requirements such as announcement of the find or report to the authorities. Under Ethiopian law the finder of a lost thing has the duty to comply with rules requiring him to report the find. See Art 1154/1/ of the code.

The finder is required to use appropriate means to make his find known and try to identify the owner and inform him about the find. Depending on the particular circumstances of the case, the finder may have to make public announcements/ that may include local radios/ or post notices, at public places...etc, about the thing found. See Art 1154/2/ of the code. **A finder who has complied with this requirement shall have the right to keep the find in his possession and shall take all the necessary measures to preserve thing.** See Art 1155 of the code. However, where the thing is vulnerable to rapid deterioration or where its custody or preservation is onerous, the finder may sale the thing at a public auction in which case the proceeds of the sale shall replace the thing sold. See Art 1156 of the code.

Art 680/1/ of the FDRE Criminal Code provides that a person who appropriates a lost object which he has found without notifying the authorities or taking the measures necessary to trace the owner shall be punishable, up on compliant, with fine not exceeding 5,000.00 Birr, or according to the gravity of the case, with simple imprisonment not exceeding one year.

However, **the owner retains the right to ask for its return** as long as he has not lost his right of ownership, i.e., **with in a period of ten years from the date of loss of the object.** See Arts 1157/1/ and 1192 the Civil Code. In such cases the owner shall have the obligation to **reimburse** the finder with the expenses the latter has incurred for the custody and preservation of the thing. See Art 1157/2/ of the code.

The finder may also apply to a court, with in a period of one year from the date of restitution of the thing to the owner, for payment of reward by the owner. Where the owner is in better financial position than the finder and where the owner has no or little chance of finding the thing himself, the court may order the owner a reward not exceeding 25% of the value of the thing found. See Art 1158 of the code.

Where the owner fails to claim the return a thing found with in a period of ten years the thing shall become a thing without a master and the finder shall acquire its ownership through occupation. See Art 1192 cum 1151 of the Civil Code.

4. Abandoned things; are things to which the owner has clearly renounced his right of ownership and hence which are without a master or owner. See Art 1191 of the Civil Code. The fact that a thing has been abandoned **may be clearly expressed by the owner or may be presumed from acts such as finding the thing at a local rubbish or waste disposal area...etc.** Hence, a person who finds and possesses an abandoned thing or a derelict thing with the intention of becoming an owner shall acquire ownership right through occupation. See Art 1151 of the Civil Code.

POSSESSION IN GOOD FAITH

Acquisition of ownership through possession in good faith is a mode of acquisition in which a person who **purchases a corporeal movable thing from a person who is not an owner or who is not entitled to alienate or transfer a thing**, becomes an owner of such thing originally as a result of his good faith. In other words, a person who purchases a corporeal movable object from a finder or a thief, with the belief that he was purchasing it from the owner of the thing or a person who is entitled to alienate it, shall become the new owner of the thing where he purchased it in good faith, i.e., with the belief that the seller is the actual owner of the thing and took possession of the thing. See **Art 1161(1) and 1162(1)** of the Civil Code.

This mode of acquisition is based on **practical considerations of impossibility of registration** of all chattels /corporeal movable things/ and the consequent impossibility for the purchaser to ascertain the title of the seller of such goods. It is also intended to **protect freedom of contract** that helps the promotion of free transfer of goods and ensure security of transactions by enabling the bona fide purchaser to acquire a new right of ownership by protecting him from any claim by the true owner of such thing 1161(2). Otherwise, transactions involving chattels in respect of which registration and issuance of deeds is almost impossible, will result in **uncertainty** of contracts and business transactions and will hinder free circulation of goods.

The purchaser will acquire the ownership of the thing at the time when he takes of possession of the thing according to Art 1143-46 of the code. **A purchaser is presumed to be in good faith** in the absence of contrary evidence showing that the **purchaser knew, at the time of taking possession, that the seller was not the owner of the thing**. However, a proof that the purchaser discovered the fact that the seller was not the true owner of the thing after he took possession may not rebut this presumption. See Art 1163.

The former owner may **not claim or recover the thing from the good faith acquirer except where the thing is stolen**. However, the owner cannot exercise this right of recovery where the thing is a currency or a security to bearer even where it is stolen from him. The owner of a stolen property must exercise such right **within a period of three years from the date of theft**. See Arts 1165 and 1167 of the code.

The good faith acquirer who bought such stolen thing from a *trader who sells similar things, or in a public auction, or in an open market / market overt /* has the right to **require the seller to reimburse him with the price he had paid for the thing**. See Arts 1166 of the Civil Code. However, this provision seems to imply that a good faith acquirer who purchased a stolen thing under other circumstances will not be able to claim reimbursement from the seller, which is contrary to the rules governing contracts of sale. See Art 2282 of the Civil Code

Acquisition in good faith is **not applicable to immovable things and special movables** such as vehicles in respect of which there is a **requirement of registration and special mode of proof**, i.e., production of title deeds, is required. This is because the purchaser is expected to ascertain the true owner of a thing he is about to purchase by referring to official registers, which are open for any interested party and cannot claim to have purchased the thing in good faith, believing that he was dealing with the true owner.

ACQUISITIVE PRESCRIPTION (USUCAPTION)

The concept of prescription includes both acquisitive prescription through adverse possession (usucaption) and extinctive prescription (statute of limitations).

Acquisitive prescription is a mode of acquiring ownership title or some real interest through possession that is free from defects, exclusive and continuous (see Art 1168 and 1150 in conjunction of possession). Furthermore, in order to constitute acquisitive possession the possession must be adverse, i.e., contrary to the owner's will, which means that where the possessor had acquired possession of the immovable with the consent of the owner the rules of usucaption or acquisitive prescription shall not apply.

Limitative/extinctive prescription is a defense through which it is generally possible to resist a claim on the sole ground that the claimant failed, for a certain period, to bring the action or to exercise the right on which it is based.

The rationale behind this principle is that owners must not leave their property unattended for a long period of time. In case where the owner leaves his property unattended and fails to claim its restoration within the period of time determined, the law assumes that the owner does not need the property anymore and hence decides to reward a person who can put the same to a better use for himself and the public.

According to Art 1168 of the Civil Code a person who has possessed an immovable belonging to another for a period of fifteen consecutive years and who has been paying taxes relating to ownership of such immovable shall become the owner of the immovable through acquisitive prescription or usucaption.

Requirements to establishment acquisitive prescription

- **The main requirement** in this mode of acquisition is that the **possession should be adverse**, i.e., the possessor must have a claim contrary to the right of the owner and persons who possess an immovable thing on the permission of the owner may not acquire right of ownership to it.
- The possession should also be **continuous** /see also Art 1150 of the code/ and **free from defects** under Art 1146 of the code.

- **Payment of taxes relating to the immovable for 15 consecutive years.** As opposed to French law, which only requires possession of a determined period of time, Ethiopian law introduces additional requirement, i.e., payment of taxes payable on the immovable. Furthermore, though the English version of Art 1168/1/ generally requires payment of taxes relating to the immovable, the Amharic version of the same provision specifically requires the payment to be made in the name of the possessor. Since, the official Amharic version prevails in such cases of disparity, the possessor of an immovable is required to pay the taxes payable on the immovable in his own name. This additional requirement makes the application of this mode of acquisition very difficult and limited, as **tax authorities may not be willing to issue tax payment vouchers in the name of a person who is not an owner.**

The fate of adverse possessor who fails to fulfill the above requirements

Person who is not able to acquire ownership of an immovable thing through **adverse possession**, for instance who possessed a thing **for ten years** or who **failed to pay the taxes relating** to the immovable may still acquire a property right lesser than ownership. Art 11168/2/ of the Civil Code entitles the person who does not fulfill the requirements of Art 1168/1/ but who has **fulfilled the requirements under Art 1146 and 1149/2** / to the right of possession and the protections provided for possessors. Hence, a person who possessed, for more than two years but lesser than fifteen years, an immovable belonging to another and whose possession is defect free shall be considered as a lawful possessor protected by the provisions of **Art 1148 and 1149** of the code. The same shall be true of a person who did not comply with the tax requirements of Art 1168/1/ of the code.

Rist/communal or family land is excluded from the ambit of adverse acquisition

Where the immovable is a rural land which is subject to a communal /family/ land holding tenure /Rest Land/, a member of the family may not claim to have acquired individual ownership to the land through adverse possession and any other member of the family may claim at any time his right to such land. See Art 1168/1/ second paragraph. In other words, the rules governing acquisition of ownership through usucaption are not applicable to rural land in parts of the country where land is the common property of the family, /rest holding/.

Adverse possession applies to immovable

These requirements are cumulative and both must be fulfilled before a person can acquire right of ownership through adverse possession. However, note that the application of this mode of acquisition is restricted to immovable things and that an **owner of a movable** thing who failed to exercise his right of ownership /to claim restitution of the thing for a period of **10 years/ loses his right** of ownership and the thing becomes a thing without an owner /res nullius/, which can be acquired by occupation. See Arts 1192 and 1152.

ACCESSION

Accession is a mode of acquisition of ownership through the **union of two or more things belonging to two or more persons**. For a thing to be acquired through accession, the two things must belong to different persons.

How to resolve dispute arising out of accession

In principle, when the two things now joined belonged to different persons before the union, each owner should be able to request their separation. However, in majority of cases such separation cannot take place without deterioration of the things or often it is impossible. Hence, the solution is to attribute anything formed by such union to one person and compensate the other, based on the maxim "Accessio credit principali, i.e., the owner of the principal owns the new thing, See Art 1183(2) or require it to be commonly owned by the owners of the component parts in certain proportion. See Art 1183(1).

Scope of application of accession principle

Accession also applies to increase from breeding in case of animals/ accession by separation/. Hence, the owner of the mother shall become the owner of the calf. See Art 1171. Similarly, a person who owns a thing also owns its natural fruits, in cases of ownership of things capable of bearing fruits. See Art 1171 of the Civil Code.

ACCESSION OF MOVABLE THINGS TO IMMOVABLE THINGS

1. Crops sown on the land of another person against a clearly expressed objection of the owner/holder shall not become the owner of the crops. Where the crops have already harvested by the sower, the owner/holder of the land shall have the right to claim the whole harvest or the value of the crop harvested from his land. The same rule applies where the owner/holder of the land was aware of the act and wanted to object to the act but was not able to express his objection. For instance, he was far away or sick or prevented from objecting by any other reason, i.e., he was not aware of the act of sowing. Where the sower sows seeds without the objection of the owner/holder or where he was aware of the act of the sower **but failed to object to the act**, the sower may be entitled to a fourth /25%/ of the crops **provided that he sow the land in good faith** or with the belief that the land belongs to him or has the right to sow the land. However, **if the sower acted in bad faith**, i.e., with the knowledge that the land does not belong to him or he does not have the right to sow seeds on the land, the whole crop will belong to the owner of the land. (See Art 1172 - 1174)

2. **Plantations on a land belonging to another:** Where a person plants trees on a land belonging to another person against a clearly expressed objection of the landowner/holder, the latter will acquire ownership to the trees and the former will not have the right to claim the trees or compensation. However, **where the trees are planted with the permission of the owner/holder of the land**, the two persons shall become joint owners of the trees. But the owner/holder of the land may terminate the joint ownership and may acquire the full ownership of the trees by payment of compensation to be determined by the agreement of the parties or according to the provisions of Art 1177. (See Art 1175 - 1177)
3. **Buildings on a land belonging to another person:** where a person, against a clearly expressed objection of the owner/holder of the land, constructs a building on a land that does not belong to him, the owner/holder of the land shall acquire the ownership of the house through accession. The same rule applies in cases where the landowner/hoder was aware of the construction but was not able to object to it for any reason. Hence, the landowner/holder may, at any time, force the builder to leave the building or require him to demolish the building and clear the land without compensation. However, where the landowner/holder knew of the construction but failed to express his objection to the act, the builder shall acquire the ownership of the building. The owner/holder of the land is entitled to evict the builder by payment of compensation to be determined by the agreement of the parties or the provision of Art 1180. (See Art 1178 - 1180)
4. **Using materials belonging to another:** where a person uses materials belonging to another for building or other works, he shall become the owner of such material by accession, and the former owner of the materials cannot demand the return of the materials. However, the person who used materials belonging to another shall have the obligation to refund the value of the materials to the former owner. Where he acted in **bad faith**, i.e., he used the materials **knowing that they do not belong to him**; he may also be **required to pay damages**. See Art 1181. Also compare Art 1134 of the Civil Code.

ACCESSION OF MOVABLE THINGS TO MOVABLES

1. **Adjunction:** It is a union of two things belonging to different owners in which the things form a single whole though each is a distinct and recognizable part of the new thing formed by the union. In such cases, the owner of the principal thing shall become the owner of the new thing **but will have to pay the value of the thing so joined to the owner of the accessory thing**. For instance, where an owner of damaged vehicle / a wreck / uses parts of a wreck belonging to another, the owner of the new thing /the principal/ shall become the owner of such parts/ the accessory/. (See Art 1183(2))

2. **Transformation (specification):** is the act of making anew thing with material belonging to someone else, the worker shall become the owner of the new thing if the labor supplied is of great value than that of the material, for example, **a painter** who uses canvas and ink belonging to another person shall be the owner of the painting he has done. See Art 1182.
3. **Commingling /fusion/:** occurs when two dry or liquid things /matters belonging to different owners are commingled or fused so that they cannot be separated without difficulty. In such cases, the persons, in proportion to value of the material each owned, shall jointly own the new thing so formed. For instance, where **ink belonging to two different persons are mixed to form an ink with a different color**, the new thing/ink/ shall be jointly owned by the persons in proportion to value of the ink each used to own. See Art 1183(2).

TRANSFER OF OWNERSHIP RIGHTS

According to Art 1184 of the Civil Code right of ownership may be transferred from the owner to another person

- by the agreement of the owner which may be a contract of sale (see Art 2266) or
- contract of donation (see Art 2427) or
- a contract of barter according to Art 2408 and 09 or
- By will.
- It may also be transferred, in cases of intestate successions, by the operation of the law. For instance, the properties of the deceased person shall be transferred, according to Art 842, to his/her children.

Transfer of ownership over movable chattel

- By the transfer of possession, pursuant to the provisions of Art 1143-45. Possession may be transferred by delivery or handing over of the thing, or
- by delivery of document representing the thing such as bills of lading, way bills, warehouse goods' deposit certificates or
- Constructively, i.e., by declaration of the possessor of a thing that from that time on he will hold the thing in the name of the creditor who failed or refused to take delivery.

Exceptional circumstances

Sometimes ownership of chattels may be transferred at a different time than the time of transfer of possession where there is no simultaneous occurrence of sale and payments of the price. This is true in cases of sale **with ownership right reserved** (see Art 2387 of the code). In such cases, ownership will be transferred from the seller to the buyer at the time when the buyer pays the price, i.e., the transfer of possession shall not transfer ownership to the buyer until the later pays

the agreed price. However, the seller or the buyer may not raise such provision against third parties/ for instance, the creditors of either party who may want to attach such thing/ unless such third party accepts such provision or it has been publicized through registration in a public registry in accordance with law. See Art 1187 of the code.

Transfer of ownership rights over immovable

Transfer of ownership right over immovable things and special movable things is effected by striking out of the name of the transferor and entering the name of the transferee in the registers of immovable things and special movable things respectively, and issuing a new title deed in the name of the transferee. **See Art 1185 and 1189** of the code.

PROOF OF OWNERSHIP RIGHTS

The mode of proof of the existence of a right of ownership varies depending on the type of the object of the right.

- The owner of an **ordinary corporeal movable object / a chattel/** shall prove his right to the thing by the **mere fact of possession**. The same is also the case for rights contained in bearer negotiable instruments. See **Art 1193** of the Civil Code and Art 721 of the Commercial Code. According to these provisions, the possessor of a chattel or a holder of a bearer instrument shall be **presumed to be the owner thereof** unless interested persons prove the contrary.
- The owner of an **immovable object or a special movable** object may establish his ownership by producing a title deed, which is given by the keeper of register of immovable things or the organ registering special movable things. See Art **1593-1561** of the Civil Code

Legal effects of issuance of title deeds for immovable

According to Art 1195 the issuance of a title deed shall give rise to a presumption that the person named therein is an owner of the immovable mentioned. All structures, crops, trees, buildings and other works on a land and caves, wells and other works under the surface of the land are presumed to be owned by the owner/holder of the land who has land holding certificate. However, this presumption may be overcome by contrary evidence which may be witnesses or other evidences. See Art 1200.

This legal effect of issuance of title deed shall be rebutted on the basis of

- The title deed is not issued in accordance with the law, see Art 1553-1636
- The title deed is issued by an authority having no jurisdiction, see Art 1553(1)
- The title deed was issued on the basis of an invalid act, such as a void contract
- The plaintiff acquired the ownership of the immovable after the day on which the title deed was issued.

Duties of the authorities issuing title deeds

- Prior to issuing a new deed, the authorities issuing a title deed has to **require the return of the deed previously issued to the previous owner and cancel it.**
- Where the **previous title deed is lost or destroyed**, the authority has to require the person requesting issuance of new title deed to produce sufficient security to cover possible damages that may be caused to third parties as a result of non-cancellation of previous title deed. **See Art 1197.**
- The state shall be **liable to third parties** who acquired title based up on deeds which was not issued in accordance with the law or which was issued by authority having no jurisdiction, or which the authority failed to cancel. See Art 1198.

Other forms of proof of ownership

Party walls: any wall or fence which lies on the boundary line separating two lands shall be **presumed to be jointly owned** unless one parcel of land only is fenced in or unless the contrary is proved by evidence showing that they are individually owned. See Art 1201. This presumption shall not apply to ditches on boundary lines if the embankment is made on one side only.

Ditches that lie on the boundary line are presumed to be owned by the owner/holder on whose land the embankment is made. This presumption may also be rebutted by proof to the contrary. See Art 1202.

Accessories; the ownership of a thing, movable or immovable, includes the ownership of the accessories, natural or artificial, which are necessary part of the thing. See Art 1203. Thus, the ownership of principal is one of the proofs.

Water, gas and electricity supply lines - are deemed to be accessories of the undertaking from which they emanate and which provides the service. See Art 1203, this presumption may be rebutted.

Ownership of fruits- the ownership of a thing includes the objects, which it is capable of producing, either by itself, or with human help, as well as of monetary benefits that can be gained from it. For example, crops, rents ...See Arts 1170 and 1171 of the Civil Code.

EXTINCTION OF OWNERSHIP RIGHTS

- If the thing is destroyed, or it has lost its individual character Art 1188
- If the thing is expropriated for public purposes.
- Ownership of wild animals will be extinguished absolutely if they regain their natural freedom and become res nullius. See Art 1152(1).

- Where the owner, with the intention to have it acquired by the first finder or occupant, **abandons** the object. See Art 1191 of the Civil Code.
- The owner of a **corporeal movable object shall lose his right** as an owner where he fails to exercise, for a period of **ten years**, the rights arising out of ownership. See Art 1192 of the Civil Code.
- Ownership of **immovable things and special movable things** in respect of which there is a requirement of registration/ Art 1723, 1185 / shall be extinguished when the **registration is cancelled** / Art 1190 /.